1. **Marginal Physical Product (MPP)**

The Marginal Physical Product of a factor is the increment in the total product obtained by the employment of an additional unit of that factor.

2. **Value of Marginal Product (VMP)**

The Value of Marginal Product is obtained by multiplying the Marginal Physical Product of the factor by the price of product.

Symbolically

VMP = MPP x Price

3. **Marginal Revenue Product (MRP)**

The Marginal Revenue Product of a factor is the increment in the total revenue which is obtained by the employment of an additional unit of that factor.

MRP = MPP x MR

Statement of the Theory

An employer employs a factor of production because it is productive. So, the price he wants to pay for the factor depends upon its productivity. The greater the productivity of a factor, the higher will be its reward. If the price of a factor of production is less than its marginal revenue product, the employer will use more of this factor, because his profit will be increased.

When more of a factor is employed, its marginal revenue product diminishes. But the employer will gain by using additional units of the factor until the marginal revenue product of the factor is equal to its price. The employer's profit will be maximum at this point. Beyond the point, the marginal revenue product is less than the price of the factor. Hence, employer will suffer loss when he uses more of the factor. Therefore, the conclusion is that the employer will adjust the price of the factor of production so as to equalize the marginal revenue product of that factor.

In short, the Marginal Productivity Theory of Distribution states that

a) The price of a factor of production depends upon its productivity.

b) The price of a factor is determined by and will be equal to marginal revenue product of that factor.

c) Under certain conditions, the price of a factor will be equal to both the average and marginal products of that factor.

The Marginal Productivity Theory of Distribution can be represented diagrammatically as follows:

Marginal Productivity under Perfect Competition

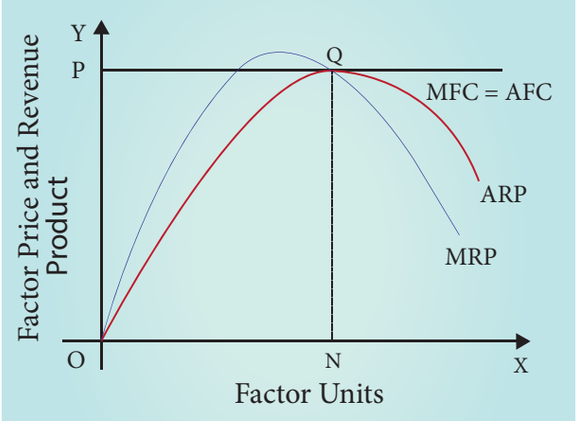


Diagram 6.1

The diagram 6.1 refers to the factor pricing under perfect competition in the factor market. X axis represents factor units

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